

People: FY2025-26 witnessed structured initiatives aimed at enhancing employee capabilities through training, upskilling, and leadership development programmes. TSDPL fostered an inclusive and performance-driven culture, encouraging collaboration, innovation, and accountability. Employee engagement initiatives, recognition programmes, and well-being measures contributed to higher morale and productivity. Focus on safety, diversity, and work-life balance strengthened the organisation's ability to attract and retain talent.

4. Tata Steel UK Operations ("TSUK")

The turnover and profit/(loss) figures of TSUK are given below:

	(₹ crore)	
	FY2025-26	FY2024-25
Turnover	23,333	24,990
EBITDA	(2,569)	(4,134)
Profit before tax (PBT), before exceptional	(3,586)	(5,548)
Profit before tax (PBT)	(3,678)	(5,591)
Profit after tax (PAT), before exceptional	(3,314)	(5,143)
Profit after tax (PAT)	(3,405)	(5,186)

The production and sales performance of TSUK (continuing operations) is given below:

	(mn tonnes)		
	FY2025-26	FY2024-25	Change (%)
Liquid Steel Production	0.00	1.07	(100)
Deliveries	2.21	2.51	(12)

Liquid steel production at the Port Talbot Steel Works, Wales, during FY2025-26 was nil, compared to 1.07 MT produced in the first half of the previous year prior to the complete closure of the primary steelmaking facilities. The Port Talbot Steel Works ceased operation of its two blast furnaces and ancillary steelmaking assets in FY2024-25 as part of the planned transition to a ~3 MTPA Electric Arc Furnace (EAF) steelmaking route. Through this transition period, TSUK has continued to work closely with its global supply chain partners to ensure uninterrupted production of high quality differentiated strip steel for construction, automotive, packaging and engineering customers.

Following the agreement with the UK Government on support for the funding of the EAF and the receipt of full planning approval, the UK business has progressed preparations for the installation of the EAF, which is expected to reduce direct CO₂ emissions by 50 MT over the next decade. To secure stable operations during the

interim phase, TSUK maintained contracts for the supply of coil and slab from the wider Tata Group and trusted international mills, ensuring continued availability of substrate for downstream operations and preventing disruption to customers.

Deliveries during FY2025-26 were 2.21 MT, lower than 2.51 MT in the previous year, reflecting subdued demand and a challenging market environment. TSUK recorded an EBITDA loss of £(218)m, primarily due to weak market conditions. Announcements of trade measures in the USA and EU led to increased imports into the UK, with tariff free quotas exceeding domestic demand for several TSUK product categories. This resulted in a decline of TSUK's market share and a significant reduction UK steel selling prices. Historically aligned with North European prices, UK selling prices experienced a sustained and substantial discount of up to approximately £86/t during the year. The trade measures announced by the UK Government in March 2026 are expected to narrow this disparity during FY2026-27, supporting the business's path to profitability.

Responding to these market headwinds, TSUK continued its turnaround plan during FY2025-26 and implemented additional fixed cost savings to improve efficiency. These efforts have resulted in structural cost savings of approximately £220m compared to FY2024-25, and around £450m since the cessation of primary steelmaking in FY2023-24.

The EAF project represents the largest transformation undertaken in the UK steel industry in a generation. The new furnace is expected to reduce Port Talbot's carbon emissions by around 90%, equivalent to 5 MT of CO₂ annually, while ensuring sustainable, high quality steel production and supporting approximately 5,000 UK jobs. As one of the world's largest EAF installations, it will melt UK sourced scrap steel to produce 3 MT of steel per year and will be supported by new ladle metallurgy facilities, significant site infrastructure upgrades and advanced steelmaking technologies.

FY2025-26 was marked by several important milestones in TSUK's transition journey. TSUK broke ground on the EAF site, formally commencing major construction activity and signalling the beginning of a new phase in sustainable steelmaking in Wales. Additional progress was made across the supply chain and supporting infrastructure, including the advancement of new processing facilities, major upgrades to site logistics and handling areas, and the commencement of large scale civil works to prepare for the installation of next generation steelmaking equipment.

Further development continued across the Port Talbot site through the construction of new facilities to accommodate up to 1,000 workers engaged in the EAF project, the commencement of refurbishment of key downstream assets, the development of a new scrap receipt and processing area, and preparation of foundations for advanced conveying and materials handling systems. These activities collectively reinforce TSUK's long term commitment to the transformation of its UK operations and its ambition to establish Port Talbot as a hub for low carbon, resilient and future ready steelmaking.

5. Tata Steel Netherlands Operations ('TSN')

The turnover and profit/(loss) figures of TSN are given below:

	(₹ crore)	
	FY2025-26	FY2024-25
Turnover	61,355	56,889
EBITDA	2,722	825
Profit before tax (PBT), before exceptional	(1,054)	(3,411)
Profit before tax (PBT)	(2,415)	(3,441)
Profit after tax (PAT), before exceptional	(765)	(3,569)
Profit after tax (PAT)	(2,127)	(3,599)

The production and sales performance of TSN (continuing operations) is given below:

	(mn tonnes)		
	FY2025-26	FY2024-25	Change (%)
Liquid Steel Production	6.69	6.75	(1)
Deliveries	6.14	6.25	(2)

The European steel market continued to face challenging conditions during the financial year. Economic growth in the EU remained subdued, constrained by high energy costs, inflationary pressures and weak industrial demand. Steel using sectors experienced uneven activity, with continued pressure in construction and engineering markets, where demand remained soft. Trade flows were affected by elevated import levels and ongoing uncertainty around international trade measures, including US tariff policies, which contributed to increased volatility and competitive pressure in global steel markets relevant to TSN. The operating environment was further influenced by heightened geopolitical uncertainty, with ongoing conflicts, including the war in Ukraine and instability in parts of the Middle East, contributing to volatility in energy markets and raw material supply chains and reinforcing concerns around security of supply and economic confidence.

At the same time, steel retained strong strategic importance for Europe's industrial base, energy transition and security considerations. Policy developments at EU and national level increasingly recognised the need for a competitive and resilient European steel industry, reflected in trade measures, carbon pricing mechanisms and the progressive implementation of the Carbon Border Adjustment Mechanism ('CBAM').

TSN is at a structural turning point. TSN strategy is anchored in the SCALE transformation programme, which integrates three interdependent priorities:

- › strengthening financial performance and resilience;
- › delivering the Green Steel Project; and
- › reinforcing license to operate through improved environmental performance, governance and compliance.

During the year, TSN made tangible progress in operational improvements, organisational restructuring and preparation for the next phase of transformation. TSN continued to reinforce its competitive positioning through portfolio optimisation, product market focus and operational efficiency initiatives. As part of the SCALE programme and organisational transformation, TSN recognised restructuring costs, including provisions related to the agreed Social Plan. These measures are aimed at transitioning towards a leaner, functionally led operating model and strengthening long term competitiveness.

A key strategic milestone was the signing of the non-binding Joint Letter of Intent (JLoI) with the Dutch State and the Province of North Holland. The JLoI outlines the pathway towards a Tailor Made Agreement, intended to support Phase 1 of TSN's Green Steel Project. This phase envisages the construction of a Direct Reduced Iron (DRI) plant and an Electric Arc Furnace ('EAF'), the closure of one blast furnace and one coke and gas plant, and the application of Carbon Capture and Storage ('CCS'). The Green Steel Project is designed to materially reduce CO₂ emissions, nitrogen oxides, particulate matter and other emissions, while safeguarding the long term future of steel making in the Netherlands. The Joint letter of Intent is an important step in the progress towards a final agreement which requires satisfaction of conditions on both the Government and TSN's side. The final investment decision will be subject to resolution of regulatory issues, implementation of policy conditions precedent and a viable business case including affordability. Progress during the year included engineering activities,

permitting processes, environmental impact assessments and continued engagement with stakeholders.

TSN maintained a strong focus on liquidity and cash flow management. Net cash flow from operating activities was supported by improved EBITDA performance and continued working capital optimisation. Capital expenditure during the year focused on sustenance investments, environmental improvement projects under the Roadmap Plus programme, selected business driven upgrades, and preparatory investments related to the Green Steel Project. In addition, TSN completed the acquisition of LAG Velsen B.V., consolidating ownership of strategic power generation assets supporting energy integration and transition readiness. At year end, TSN maintained access to committed revolving credit facilities and additional uncommitted overdraft facilities, providing adequate liquidity headroom. Improved cash generation enabled further deleveraging of the balance sheet.

TSN continues to be deeply engaged with the local regulatory bodies on addressing the issues related to the IJmuiden operating site. Based on the local Environment Agency's measurements of exceedances of emissions of substances versus certain prescribed limits, TSN has received multiple notices alleging non-compliance and has paid more than €20 million of penalties in FY2025-26 in relation to the coke and gas plants. Many of these penalties relate to exceedances where no technically and operationally feasible best practices are currently available globally to address the issue in a time frame acceptable to the Environment Agency given the design and vintage of these coke ovens (40 – 50 years old). The Environment Agency and the local Province have also on 23rd April, 2026 issued a letter to TSN indicating their intention to revoke operating permits and trigger an early closure of the coke and gas plants. TSN has made a detailed assessment and shared with the Agency and the Province a timeline which is necessary to ensure a safe, responsible and controlled closure process. TSN is also exploring all options including legal recourse to ensure that the closure process is managed with due care and prudence. However, pending assurance on a feasible timeline, the financial statements of TSN have been prepared taking into account a material uncertainty to going concern in discussion with its auditors. TSN is also engaged with the regulators on evolving standards relating to classification and disposal of steel slag, where local requirements in the Netherlands now not only exceed EU standards but are threatening to become infeasible.

TSN operates in a highly competitive and regulated environment. Key risks include market and price volatility, competitive positioning, execution risk related to large scale transformation projects, regulatory and environmental compliance, energy price volatility, and financing risk associated with the Green Steel Project. TSN continues to strengthen its integrated Risk & Compliance framework under the TSN In Control Programme, improving governance, transparency and oversight across financial, operational, environmental and compliance domains.

Looking ahead, market conditions in the European steel sector are expected to remain challenging in the near term, with gradual recovery anticipated as monetary conditions normalise and demand stabilises. While the path forward involves execution, policy and market dependencies, Management believes that the strategic direction, improving operational performance and strengthened governance provide a robust basis to navigate the transition and support the long term sustainability and competitiveness of TSN.

6. Tata Steel Thailand ('TSTH')

Industry and Market Situation

Thailand's GDP growth in CY 2025 ultimately expanded 2.4%, a marginal deceleration from 2024's 2.5%. Despite continued recovery in tourism and private consumption, overall sentiment remains cautious amid structural challenges such as high household debt and slower-than-expected investment activity. Global headwinds—including U.S. trade policy shifts and softer global trade—continue to weigh on Thailand's export performance and private sector confidence. Domestic political transition has also contributed to delays in public investment disbursement, further limiting growth momentum in 2025.

According to the Iron and Steel Institute of Thailand, Thailand's total steel consumption reached approximately 16.6 MT in 2025. Imports amounted to approximately 11.9 MT, representing 64.6% of the country's steel demand and growing 4.7% year-on-year.

The surge in bar demand was driven by renewed activity in key sectors—particularly construction—supported by the Cabinet's late-June approval of THB 115 billion (USD 3.5 billion) in stimulus spending aimed at boosting the economy. The program included investments in transport, water infrastructure, and tourism-related projects. Meanwhile, wire-rod imports continued to grow, rising 8.5% year-on-year, largely due to increased supply from China.

Thai economy is projected to expand in the range of 2.0% year-on-year in CY2026, supported by the sustained expansion of domestic private demand, an increase in the government budget framework, and the continued recovery of the tourism sector along with related service industries.

It is expected that the domestic steel demand will be stable at last year level of 16.7 MT in CY2026. Growth is expected to remain subdued, consistent with Thailand's projected GDP expansion for the year. The steel sector will continue to face economic pressures from both external and internal factors, contributing to slower growth across key industrial segments in 2026 and weighing on overall steel demand.

The turnover and profit/(loss) of TSTH for the FY2025-26 are as follows:

	(₹ crore)	
	FY2025-26	FY2024-25
Turnover	7,198	6,055
EBITDA	714	106
Profit before tax (PBT), before exceptional	642	38
Profit before tax (PBT)	642	101
Profit after tax (PAT), before exceptional	517	18
Profit after tax (PAT)	517	81

The production and sales performance of TSTH is given below:

	(mn tonnes)		
	FY2025-26	FY2024-25	Change (%)
Saleable Steel	1.33	1.19	11
Sales	1.32	1.19	11

During FY2025-26, the saleable steel production increased by 0.14 MT and sales improved by 0.13 MT over FY2024-25. Turnover increased by ₹1,143 crore primarily due to increase in deliveries and favourable exchange rate movement. The profit after tax was higher by ₹436 crore on account of higher margins owing to operational efficiencies.

Year in Review

- › Delivered outstanding safety performance with LTIF of 0.2 incidents per million employee-hours, significantly better than the World Steel benchmark.
- › Deployed AI and automation technologies (e.g., 138 AI Cameras at all the 3 plants) to reduce human error in critical operations such as billet charging into Re-Heating Furnace and superheat control during casting, strengthening preventive safety controls.

- › Achieved best-ever run factor across all 3 steel plants and 5 rolling mills over the past five years.
- › Delivered a 45% reduction in overall product claims vs. FY2024-25, driven by the TPM 'Figure of Eight' continuous improvement concept.
- › Maintained zero plant outage (>24 hours) across all plants, reinforcing operational stability and reliability.
- › Delivered strong sales volume 1,325 KT, significantly exceeding both ABP and prior-year results which are highest ever finished steel sale.
- › Domestic Rebar sales grew by 35% Y-o-Y.
- › Best-ever sales: High Value Product Rebar & CAB - 432 KT
- › Accelerated new product and market development, with NPD contribution increasing 37% Y-o-Y.
- › Best-ever sales 95 KT for Tire-Bead/Cord serving both domestic and international customers (45 KT (Domestic) and 50 KT (Export)).
- › Successfully delivered 128 completed innovation projects through TSTH-Steel AI & Analytics Minds 2025 and Tata InnoVerse challenges.
- › Applied AI solutions in production and quality processes, including error-proofing and automated MTC (Mill Test Certificate) issuance systems.
- › Cloud based AI system for predictive maintenance at SCSC and SISCO plants helped in achieving Zero Gearbox failure.
- › Progressed on SAP S/4HANA implementation, strengthening digital backbone and data-driven decision-making.
- › Achieved Industry 4.0 recognition, including external funding support for AI projects from DPIM.

Recognitions:

- › Multiple national awards across TCOC, innovation, and quality, including:
- › Industry 4.0 Recognition award 2025 (SISCO plant)
- › Thailand Kaizen 'Silver award' (SISCO plant) and QCC (Quality Control Circle) Thailand awards across all 3 plants
- › Recognised for strong governance and ethics through CAC (Thai Private Sector) certification (4th renewal) and 5-Star Corporate Governance Award 2025 by IOD (Thai Institute of Directors).

- › TSTH received the Sustainability Disclosure Award (Highest Level).
- › All 3 plants received Corporate Social Responsibility – Department of Primary Industries and Mines Continuous Award 2025 from Department of Industrial Works.
- › NTS plant received 'IEAT Sustainable Network Factory' Program for the year 2025.

Safety/Health/Environment:

- › All 3 plants received 'Green Mining Award' 2025 from Department of Primary Industries and Mines (DPIM), Ministry of Industry.
- › All 3 plants received Safety Excellence Award in National Level (National Safety Award).
- › SCSC and NTS plants received 'White Flag-Green Star Award'.
- › All 3 plants received the certificates of Carbon Footprint for Organisation (CFO) 2025.
- › NTS and SISCO plants received the certificates of Carbon Footprint for Product (CFP) 2025.
- › NTS plant receive 'ECO World Class' Certificate.
- › SCSC plant receive 'Green Label' & 'EcoAdvance Project'.

7. The Siam Industrial Wire Co. Ltd. ('SIW') and TSN Wires Co. Ltd. ('TSN Wires')

Siam Industrial Wire Co., Ltd (SIW) is Thailand's leading manufacturer of prestressed steel wire, commanding a dominant 35% share of the domestic PC products. SIW is a truly global enterprise, with international exports representing over half of our sales volume across more than 60 countries, including the US, Europe, and the ASEAN.

From standard PC Strand to sophisticated High-Value Products by integrating customers' needs to product, service and decarbonisation development, SIW remains at the forefront of transition in prestressed steel construction industry to sustainable growth with lower environmental impact.

TSN Wires, a subsidiary of SIW and an indirect subsidiary of Tata Steel Limited, is the clear leader in the Thai galvanised wire market (more than 69% of total sales are from Thailand), holding a 42% market share. TSN Wires provides high-quality solutions for the Perimeter

protection, Agricultural, and Industrial segments by focusing on key growth areas such as Fencing, Gabion, and Poultry applications.

In FY2025-26, the market for prestressed steel has softened due to slower spending on government infrastructure projects in Thailand. Looking ahead, we are likely to face multiple challenges in international markets:

Trade Barriers: Regulations such as carbon taxes (CBAM – Carbon Border Adjustment Mechanism) to restrict imported steel to Europe, import duty and tax (Section 232 – Tax rate moving from 25% to 50% in 2025) for imported steel from Thailand to the United States, are making international trade more complex.

Regional Competition: In Southeast Asia (ASEAN), we are facing intense competition from local and Chinese steel mills and who are also establishing manufacturing facilities in Vietnam.

Sustainability Demands: Global customers, particularly in Europe & Australia now require products with lower carbon emissions.

The galvanised wire business is currently facing 'headwinds' from lower demand in fencing, gabion and construction segments. This has been made more difficult by low-priced imports coming from China. Next year, the outlook for Galvanised wire business will face more aggressive prices from foreign and domestic players. Leveraging business among the challenges, TSN wires has pinned the growth in:

Higher Value Products: We are moving away from basic products to focus on specialised, high-value items like ZnAl 10%, Ground wires, Wire products and Project business. These products and project business offer better profit margins.

Export Growth: We will use our reputation for superior quality coupled with our strong regional relationships to find new growth opportunities outside of Thailand.

The turnover and profit/(loss) of SIW for the FY2025-26 are as follows:

	(₹ crore)	
	FY2025-26	FY2024-25
Turnover	1,473	1,431
EBITDA	47	20
Profit before tax (PBT)	33	8
Profit after tax (PAT)	24	7

The production and sales performance of SIW is given below:

	(mn tonnes)		
	FY2025-26	FY2024-25	Change (%)
Saleable Steel	0.19	0.20	(3)
Sales	0.22	0.23	(3)

The turnover and profit/(loss) of TSN Wires for the FY2025-26 are as follows:

	₹ crore	
	FY2025-26	FY2024-25
Turnover	283	275
EBITDA	14	5
Profit before tax (PBT)	(1)	(10)
Profit after tax (PAT)	(1)	(10)

The production and sales performance of TSN Wires is given below:

	(mn tonnes)		
	FY2025-26	FY2024-25	Change (%)
Saleable Steel	0.04	0.04	(0)
Sales	0.04	0.04	5

During FY2025-26, the combined saleable steel production (SIW & TSN Wires) and deliveries decreased marginally by 3% due to subdued demand. The combined turnover increased marginally by 3% due to favourable exchange. Profits have increased mainly due to lower operating cost.

Year in Review

- Strong growth in Vietnam for the premium imported PC Strand, holding 20% market share.

Recognitions:

- Environmental Impact Assessment in Thailand, EIA awarded the outstanding level to SIW on the 'EIA Monitoring Awards 2025' for the steel wire Manufacturing plant project reinforcing commitment to environmental responsibility and sustainable development.

8. Tata Steel Minerals Canada ('TSMC')

TSMC mines and processes mid & high-grade iron ore (63-66% Fe) from multiple hematite deposits straddled over 30 km in the Menihék region of Labrador Iron trough (Schefferville). Processing infrastructure includes a 4 MTPA rated processing complex, enabling quality improvement (through beneficiation) and moisture reduction, with TSMC currently producing ~3 MTPA of

Iron ore fines & lumps. This sinter fines product is then railed to port of Sept-Iles (city in Quebec) for shipping to customers worldwide.

In FY2025-26, the iron ore market daily indices for Platts 62% CFR index recovered from the lows of US\$ 93/t in Q1 to highs of US\$ 110/t in Q3, while the average for the year is expected to remain at similar levels of last year at ~102 US\$/t. The primary drivers for the inter quarter price swings were attributed to contraction in global steel demand due to weak construction & housing activity in China, tariffs and protectionist measures from major economies and subdued steel demand in Europe. The elevated levels of freight continue due to geopolitical unrest in middle east and continue to support US\$ 105/t+ levels of prices in March 2026.

While the dry bulk oceanic freight (Brazil to China) remained rangebound Q2 & Q3, Q4 saw a sudden spike albeit increased trade flows of bauxite from West Africa to China and the escalating fuel costs due to closure of strait of Hormuz. The unavailability of Suez Canal has led to further increase in ton-miles distance and associated costs.

TSMC recorded the highest ever shipments in FY2025-26 of ~2.9 MT (~12% higher Y-o-Y basis) with maiden shipment to Tata Steel India. TSMC commenced excavation from Howse pit (high grade) in time and within budget, thereby uplifting the overall quality of product. TSMC achieved highest ever production from Concentrator ~1.3 MT (~23% higher Y-o-Y basis), thereby ensuing shipments in all 12 months with the desired quality (zero quality penalties).

The turnover and profit/(loss) figures for the FY2025-26 are as follows:

	₹ crore	
	FY2025-26	FY2024-25
Turnover	1,795	1,422
Profit before tax (PBT)	(1,792)	(1,457)
Profit after tax (PAT)	(1,792)	(1,457)

In FY2025-26, TSMC recorded highest ever turnover of USD ~204 Mn (~20% higher Y-o-Y basis) due to higher volume and higher realisations despite CFR index remaining at similar levels.

Consolidated Performance

The consolidated profit after tax of the Company was ₹10,886 crore as against ₹3,174 crore in the previous year. The increase was primarily on account of increase in operating profits at Tata Steel Standalone and

Netherlands Operations and decrease in EBITDA loss at the UK Operations during the year. The basic and diluted earnings for the Financial Year 2025-26 were at ₹8.65 per share each (previous year: basic and diluted: ₹2.74 per share each).

The analysis of major items of the financial statements is given below.

a) Revenue from operations

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	1,39,720	1,32,517	5
Tata Steel UK Operations	23,333	24,990	(7)
Tata Steel Netherlands Operations	61,355	56,889	8
NINL	5,282	5,701	(7)
South East Asia	8,954	7,761	15
Others	54,371	57,347	(5)
Eliminations & Adjustments	(60,875)	(66,662)	9
Total revenue from operations	2,32,140	2,18,543	6

The consolidated revenue from operations was higher by 6% as compared to the previous year on account of increase in deliveries mainly at Tata Steel Standalone, partly offset by lower average realisation across geographies.

Revenue increased at Tata Steel Standalone, primarily due to higher deliveries by 1.58 MT owing to higher production partly offset by marginally lower realisation.

Revenue declined at Tata Steel UK operations attributable to lower deliveries and reduction in average revenue per tonne, partly offset by favourable exchange rate movement.

Revenue increased at Tata Steel Netherlands operations mainly due to favourable exchange rate movement partly offset by lower deliveries and lower average revenue per tonne.

Decrease at NINL was due to lower rebar and pig iron prices and decrease in coke sales volume. This was partly offset by increase in Iron ore sales which was largely eliminated on consolidation (inter-company). Others primarily include decrease at TS Global Procurement which are largely eliminated on consolidation (inter-company).

b) Purchases of stock-in-trade

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	5,076	9,826	(48)
Tata Steel UK Operations	13,278	11,195	19
Tata Steel Netherlands Operations	4,300	3,461	24
NINL	0	0	N.A.
South East Asia	4,362	4,276	2
Others	7,956	6,497	22
Eliminations & Adjustments	(16,813)	(17,237)	2
Total purchases of stock-in-trade	18,159	18,018	1

Expense was higher significantly at UK operations due to increase in external steel purchases post shut-down of Blast Furnaces for transition. Higher at TSN on account of higher custom duties and adverse exchange translation difference. Increase in billet production at Tata Steel Thailand led to higher purchases of scrap during the year. Tata Steel (Standalone) expenses decreased due to lower purchases of traded rebars from NINL (which was largely eliminated on consolidation) and lower scrap purchases.

c) Cost of materials consumed

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	47,979	44,089	9
Tata Steel UK Operations	2,053	6,489	(68)
Tata Steel Netherlands Operations	21,473	23,166	(7)
NINL	2,224	2,752	(19)
South East Asia	1,393	1,421	(2)
Others	40,409	45,616	(11)
Eliminations & Adjustments	(41,062)	(46,453)	12
Total cost of materials consumed	74,469	77,080	(3)

Consumption declined across at group level mainly due to lower cost of consumption of imported coal and other raw materials owing to lower prices. TSUK reported decrease in GBP terms primarily due to lower consumption owing to Nil production as a result of closure of heavy end facilities at UK. Decrease at the Netherlands operations was due to lower iron ore cost. Increase at TSL (Standalone) was mainly due to higher external pellet consumption and iron ore purchases from NINL and other materials due to increase in production.

Others primarily reflect decrease in transactions at T S Global Procurement due to decrease in coal prices, which are largely eliminated on consolidation (inter-company).

d) Employee benefits expense

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	7,756	8,010	(3)
Tata Steel UK Operations	4,050	4,288	(6)
Tata Steel Netherlands Operations	12,262	10,956	12
NINL	242	231	5
South East Asia	428	293	46
Others	1,137	1,006	13
Eliminations & Adjustments	124	105	18
Total employee benefits expense	25,999	24,889	4

Increase in expenses was mainly at Tata Steel Netherlands due to depreciation of rupee and adverse impact of foreign exchange translation partly offset by lower cost due to reduction in employees count; at South East Asia operations due to higher provision for bonus partly offset by lower expense at Tata Steel Standalone primarily due to reduction in employees count offset by salary revisions and its consequential impact on retirement provisions and lower expenses at UK operations due to reduction in employees count post closure of heavy end operations and redundancies during previous year.

e) Depreciation and amortisation expense

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	7,069	6,253	13
Tata Steel UK Operations	462	415	11
Tata Steel Netherlands Operations	3,194	2,660	20
NINL	418	493	(15)
South East Asia	104	93	12
Others	759	544	39
Eliminations & Adjustments	(51)	(37)	(36)
Total depreciation and amortisation expense	11,955	10,421	15

Expense was higher than the previous year mainly on account of increase in depreciation charge at Tata Steel Standalone due to capitalisation of major facilities on account of Tata Steel Kalinganagar phase-II expansion.

Increase at Netherlands due to higher charge post BF6 reline, partly offset by decrease in GBP terms at UK post shut down of Blast Furnaces, offset by depreciation of rupee and adverse impact of foreign exchange translation. Increase at Others is mainly at Tata Steel Minerals Canada due to higher charge attributable to increase in production quantities.

f) Other expenses

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	46,803	42,396	10
Tata Steel UK Operations	6,110	8,287	(26)
Tata Steel Netherlands Operations	20,396	18,142	12
NINL	1,654	1,583	4
South East Asia	1,889	1,743	8
Others	4,557	4,707	(3)
Eliminations & Adjustments	(3,238)	(3,504)	8
Total other expenses	78,171	73,354	7

Other expenditure represents the following expenditure:

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Consumption of stores and spares	10,428	10,979	(5)
Repairs and maintenance	9,616	10,717	(10)
Relining expenses	283	305	(7)
Power, fuel and gases	14,333	13,125	9
Conversion charges	3,213	3,054	5
Freight and handling charges	13,946	13,646	2
Rent and hire charges	3,099	3,462	(10)
Mining premium and Royalties	5,682	5,340	6
Rates and taxes	3,492	2,288	53
Insurance charges	756	681	11
Commission, discounts and rebates	320	366	(13)
Allowance for credit losses/ provision for advances	107	9	1,049
Other expenses	13,864	10,728	29
Less :-Expenditure (other than interest) transferred to capital & other accounts	(968)	(1,346)	28
Total Other expenses	78,171	73,354	7

Expenses increased at Tata Steel Standalone primarily due to increase in other expenses due to write back of liabilities no longer required in FY2024-25 and decrease in foreign currency exchange gain. Increase in rates and taxes due to increase in Jharkhand Mineral Bearing Land Cess in FY2025-26 and reversal of old liability for water charges during FY2024-25. Increase in Royalty charges mainly due to increase in quantity and rate. Moreover, there was decrease in repair and maintenance cost mainly on account of major planned shutdowns in FY2024-25 which was not in FY2025-26.

Expenses at UK operations were lower primarily due to lower stores and maintenance cost at UK post shut down of Blast Furnaces during the year along with lower rent, hire and leasing cost due to impairment and disposal of leases relating to heavy end operations. This was partly offset by adverse exchange rate movement.

Expenses at the Netherlands operations were higher mainly due to higher legal and compliance cost, higher cost of emission rights as FY2024-25 included free allocated surplus credits which was not available in FY2025-26.

Expenses increased at NINL mainly due to higher royalty due to increased iron ore sales partly offset by lower freight and handling charges.

Increase at South East Asia mainly due to adverse exchange rate movement partly offset by lower power & fuel expenses due to lower power rates and lower freight due to lower export volumes.

Decrease in Others was mainly at T S Global Holdings Pte. Ltd. mainly due to higher cost in FY2024-25 on account of adverse impact of exchange rate movement and lower at T S Global Procurement due to higher gain on derivatives assets partly offset by higher cost at Tata Steel Minerals Canada due to provision on account of Asset Retirement Obligation.

g) Finance costs

(₹ crore)

	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	5,117	4,238	21
Tata Steel UK Operations	610	1,050	(42)
Tata Steel Netherlands Operations	670	1,592	(58)
NINL	701	630	11
South East Asia	16	16	(2)
Others	2,197	3,591	(39)
Eliminations & Adjustments	(2,144)	(3,776)	43
Finance costs	7,167	7,341	(2)

h) Net Finance costs

(₹ crore)

	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	3,515	2,343	50
Tata Steel UK Operations	556	999	(44)
Tata Steel Netherlands Operations	608	1,587	(62)
NINL	635	587	8
South East Asia	(3)	2	(228)
Others	962	800	20
Eliminations & Adjustments	(12)	(14)	10
Net Finance costs	6,261	6,304	(1)

Finance cost decreased marginally by 1% primarily at the Netherlands operations due to repayment of debt, at UK operations due to reduction in debt levels compared to previous years and at others due to repayments of external borrowings during the year at ABJA Investment Co. Pte. Ltd. and at T S Global Procurement. These were partly offset by increase in interest cost at Tata Steel Standalone due to higher interest on debentures owing to fresh drawls towards end of FY2024-25 along with higher interest on term loans owing to fresh utilisation during the year and higher interest on commercial papers attributable to higher balances during the year. The increases were partly offset by lower interest on other loans on account of lower bank discounting charges.

Increase at NINL was due to higher charge on capitalised interest on Non-Convertible Redeemable Preference Shares, eliminated on consolidation (inter-company).

Net finance charge was lower in line with decrease in finance cost along with lower interest income during the year compared to previous year.

i) Exceptional items

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	(1,099)	(902)	N.A.
Tata Steel UK Operations	(91)	(44)	N.A.
Tata Steel Netherlands Operations	(1,362)	(30)	N.A.
NINL	(117)	(1)	N.A.
South East Asia	0	63	N.A.
Others	(1,102)	(9,266)	N.A.
Eliminations & Adjustments	2,739	9,325	N.A.
Total exceptional items	(1,032)	(855)	N.A.

Exceptional items during the FY2025-26 primarily represents:

- Provision for impairment of non-current assets ₹120 crore, for partly retained assets as part of sale of Jajpur ferro chrome plant at Tata Steel Standalone.
- Net Provision for Employee Separation Scheme ('ESS') amounting to ₹485 crore under Sunehere Bhavishya Ki Yojana ('SBKY') and other scheme at Tata Steel Limited Standalone, TSDPL and NINL.
- Provision for Statutory Impact of New Labour codes at Tata Steel Standalone, NINL and other Indian subsidiaries ₹85 crore.
- Provision for demands and claims at TSUK & TSN ₹379 crore.
- Provision for redundancy charges at TSUK & TSN ₹994 crore.
- Impairment of Property Plant and equipment and Capital work in progress at TSUK, TSN, TSMC and NINL ₹204 crore.
- Loss on sale of non-current assets at Tata Steel Advanced Materials Limited ₹14 crore.

Partly offset by,

- Fair valuation gain on non-current investments amounting to ₹26 crore at Tata Steel Standalone.

- Profit on sale of Jajpur Ferro Chrome plant at Tata Steel Standalone ₹322 crore.
- Fair value gain on existing stake in Tata Steel Colors Private Ltd. ₹901 crore.

The exceptional items in Financial Year 2024-25 primarily represents:

- Provision for impairment of non-current assets ₹81 crore, which primarily includes impairment of Property, plant and equipment, intangibles (including capital work-in-progress) at TSUK.
- Provision for impairment of non-current assets ₹39 crore, which primarily includes impairment of Property, plant and equipment, intangibles (including capital work-in-progress) at TSN.
- Net Provision for ESS amounting to ₹692 crore under SBKY and other scheme at Tata Steel Limited (Standalone), Tata Steel Downstream Products Limited and at NINL.
- Contribution to Electoral Trust ₹173 crore at Tata Steel Standalone.
- Loss on sale of non-current investments at TSUK amounting to ₹7 crore.

Partly offset by,

- Gain on sale of non-current assets at TSTH amounting to ₹62 crore on sale of land.
- Fair valuation gain on non-current investments amounting to ₹17 crore at Tata Steel Standalone.
- Credit of ₹58 crore under restructuring and other provisions mainly at TSUK & TSN.

j) Property, plant and equipment (PPE) including intangibles and right of use assets

	(₹ crore)		
	FY2025-26	FY2024-25	Change (%)
Tata Steel (Standalone)	1,35,907	1,34,339	1
Tata Steel UK Operations	6,859	3,848	78
Tata Steel Netherlands Operations	34,858	28,691	21
NINL	10,953	11,105	(1)
South East Asia	1,141	1,022	12
Others	12,481	8,316	50
Eliminations & Adjustments	(1,315)	(730)	(80)
Total PPE including intangibles & right of use assets	2,00,884	1,86,591	8